

Cost Accounting I – Assignment 2.1 (Unit II)

Two Marks Questions

3. What is cost of production?

Cost of production refers to the total cost incurred by a firm to manufacture a product, from the raw material stage up to the point where the product is ready for sale. It is arrived at by adding office and administrative overheads to the works cost (factory cost).

$$\text{Cost of Production} = \text{Works Cost} + \text{Office and Administrative Overheads}$$

5. Calculate Works Cost:

Given: Factory expenses Rs. 7,000; Office expenses Rs. 3,000; Material consumed Rs. 34,000; Selling expenses Rs. 9,000.

$$\text{Works Cost} = \text{Material Consumed} + \text{Factory Expenses}$$

$$\text{Works Cost} = 34,000 + 7,000 = \text{Rs. 41,000}$$

(Office expenses and Selling expenses are not part of Works Cost — they are added later to arrive at Cost of Production and Cost of Sales respectively.)

9. What is Variable Cost?

Variable cost is a cost that changes in direct proportion to the level of output or activity. It increases when production increases and decreases when production decreases, and tends to remain constant per unit of output. Examples include direct materials, direct labour, and power costs that vary with production volume.

11. Calculate works cost from the following:

Materials Rs. 60,000; Labour Rs. 40,000; Direct expenses Rs. 10,000; Factory overheads Rs. 50,000; Opening work-in-progress Rs. 10,000; Closing work-in-progress Rs. 8,000.

Particulars	Amount (Rs.)
Materials	60,000
Labour	40,000
Direct Expenses	10,000
Prime Cost	1,10,000
Add: Factory Overheads	50,000
Add: Opening Work-in-Progress	10,000
Less: Closing Work-in-Progress	(8,000)
Works Cost	1,62,000

12. Calculate prime cost, Factory cost, Cost of Production, Cost of sales and profit from the following details:

Direct materials Rs. 10,000; Direct Labour Rs. 4,000; Direct expenses Rs. 500; Factory expenses Rs. 1,500; Administrative expenses Rs. 1,000; Selling expenses Rs. 300; Sales Rs. 20,000.

Particulars	Amount (Rs.)
Direct Materials	10,000
Direct Labour	4,000
Direct Expenses	500
Prime Cost	14,500
Add: Factory Expenses	1,500
Factory Cost	16,000
Add: Administrative Expenses	1,000
Cost of Production	17,000
Add: Selling Expenses	300

Cost of Sales	17,300
Sales	20,000
Profit	2,700

Five Marks Questions

1. From the following particulars, prepare a Cost Sheet showing (1) Cost of Materials Consumed (2) Prime Cost (3) Factory Cost (4) Cost of Production and (5) Profit

Opening stock of raw materials Rs. 20,000; Opening stock of WIP Rs. 10,000; Opening stock of finished goods Rs. 50,000; Raw materials purchased Rs. 5,00,000; Direct wages Rs. 3,80,000; Sales Rs. 12,00,000; Closing stock of raw materials Rs. 75,000; Closing stock of WIP Rs. 15,000; Factory overhead Rs. 80,000; Direct expenses Rs. 50,000; Office and Administrative overhead Rs. 60,000; Selling and Distribution expenses Rs. 30,000.

Particulars	Amount (Rs.)
Opening Stock of Raw Materials	20,000
Add: Raw Materials Purchased	5,00,000
Less: Closing Stock of Raw Materials	(75,000)
Cost of Materials Consumed	4,45,000
Add: Direct Wages	3,80,000
Add: Direct Expenses	50,000
Prime Cost	8,75,000
Add: Factory Overhead	80,000
Add: Opening WIP	10,000
Less: Closing WIP	(15,000)
Factory Cost	9,50,000
Add: Office and Administrative Overhead	60,000
Cost of Production	10,10,000
Add: Selling and Distribution Expenses	30,000
Cost of Sales	10,40,000
Sales	12,00,000
Profit	1,60,000

Note: Since the closing stock of finished goods is not given in the data, the opening stock of finished goods (Rs. 50,000) has not been adjusted against Cost of Production; Cost of Sales is taken as Cost of Production plus Selling and Distribution expenses.

5. Mr. X Company Ltd. are the manufacturers of mobile batteries. Cost sheet showing cost, profit per unit and total profit — March 2005

Raw material consumed Rs. 20,000; Direct wages Rs. 12,000; Machine hours worked 9,500 hours; Machine hour rate Rs. 2; Office overheads 20% of works cost; Selling overheads 50 paise per unit; Units produced 20,000; Units sold 18,000 @ Rs. 5 per unit.

Particulars	Amount (Rs.)
Raw Material Consumed	20,000
Add: Direct Wages	12,000
Prime Cost	32,000
Add: Factory Overhead (9,500 hrs × Rs. 2)	19,000
Works Cost	51,000
Add: Office Overhead (20% of Works Cost)	10,200
Cost of Production (20,000 units)	61,200
Cost of Production per unit (61,200 ÷ 20,000)	3.06
Cost of Production of 18,000 units sold	55,080
Add: Selling Overhead (18,000 units × 0.50)	9,000
Cost of Sales (18,000 units)	64,080
Cost per unit sold (64,080 ÷ 18,000)	3.56
Sales (18,000 units × Rs. 5)	90,000
Total Profit	25,920

Profit per unit (25,920 ÷ 18,000)	1.44
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Ten Marks Question

1. Draw a statement of cost from the following particulars:

Opening Stock: Materials Rs. 2,00,000; Work-in-progress Rs. 60,000; Finished goods Rs. 5,000. Closing Stock: Materials Rs. 1,80,000; Work-in-progress Rs. 50,000; Finished goods Rs. 15,000. Materials purchased Rs. 5,00,000; Direct Wages Rs. 1,50,000; Manufacturing expenses Rs. 1,00,000; Sales Rs. 8,00,000; Selling and distribution expenses Rs. 20,000.

Particulars	Amount (Rs.)
Opening Stock of Materials	2,00,000
Add: Materials Purchased	5,00,000
Less: Closing Stock of Materials	(1,80,000)
Cost of Materials Consumed	5,20,000
Add: Direct Wages	1,50,000
Prime Cost	6,70,000
Add: Manufacturing Expenses	1,00,000
Add: Opening Work-in-Progress	60,000
Less: Closing Work-in-Progress	(50,000)
Works Cost / Cost of Production	7,80,000
Add: Opening Stock of Finished Goods	5,000
Less: Closing Stock of Finished Goods	(15,000)
Cost of Goods Sold	7,70,000
Add: Selling and Distribution Expenses	20,000
Cost of Sales	7,90,000
Sales	8,00,000
Profit	10,000